While discussing accounting policies, we have to consider two important points.

1 Do you agree with the accounting policies of the company?

Depending on

Each company has different accounting policies based on management discretion.

The line of business, the nature of business, and the industry, different companies have different policies.

Order is placed

&

Return window is closed

A media company might book revenue in either of two cases -

&

Advertisement is delivered

When payment is recieved

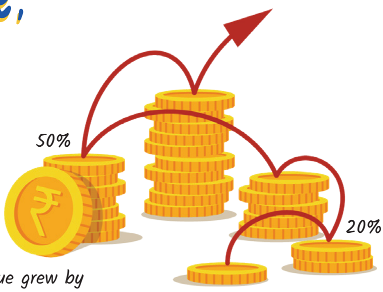
So you first need to check whether you agree with a company's accounting policies.

2 Compare the Changes

The next important thing that you need to consider is to compare the changes in the current year and the previous year.

Let us assume,

The numbers might see to have improved. You might think that the company is doing exceptionally well.



revenue grew by 50%

revenue grew by approximately 20%

However, the main reason behind this may be a change in accounting policies. We must check year on year if the company is changing any Accounting policy and if so, what is the change and what is the reason to make that change? Change in accounting policies leave the numbers incomparable.